FMGT 3130 – week 3

Q1) Denali Limited, a manufacturing company, had the following income statement information:

Revenue	$4,000,000
Cost of goods sold	$3,000,000
Other operating expenses	$500,000
Interest expense	$100,000
Tax expense	$120,000

Find the company's gross profit, operating profit, and net income.

Gross profit = Revenue – COGS = $4,000,000 - $3,000,000 = $1,000,000

Operating profit = Revenue – COGS – Other operating expenses =

$4,000,000 - $3,000,000 - $500,000 = $500,000

Net income = Revenue – COGS – Other operating expenses – Interest expense – Tax expense =

$4,000,000 - $3,000,000 - $500,000 - $100,000 - $120,000 = $280,000

Q2) Fairplay had the following information related to the sale of its products during 2009, which was its first year of business:

Revenue	$1,000,000
Returns of goods sold	$100,000
Cash collected	$800,000
Cost of goods sold	$700,000

Under the accrual basis of accounting, how much net revenue would be reported on Fairplay's 2009 income statement?

Net revenue = Revenue – Return of goods sold = $1,000,000 - $100,000 = $900,000

Q3) During 2009, Accent Toys plc., which began business in October of that year, purchased 10,000 units of a toy at a cost of $10 per unit in October. The toy sold well in October. In anticipation of heavy December sales, Accent purchased 5,000 additional units in November at a cost of $11 per unit. During 2009, Accent sold 12,000 units at a price of $15 per unit. Under the first-in, first-out (FIFO) method, what is Accent's cost of goods sold for 2009?

Under the FIFO method, the first 10,000 units sold came from the October purchases at $10, and the next 2,000 units sold came from the November purchases at $11.

COGS = 10,000 x $10 + 2,000 x $11 = $122,000

Q4) Using the same information as in the previous question, what would Accent's cost of goods sold be under the weighted average cost method?

October purchase 10,000 x $10 = $100,000

November purchases 5,000 x $11 = $55,000

Total purchase in 2009 = $100,000 + $55,000 = $155,000

Average cost per unit = $155,000 / 15,000 = $10.33

COGS = $10.33 x 12,000 = $124,000

Q5) At the beginning of 2009, Glass Manufacturing purchased a new machine for its assembly line at a cost of $600,000. The machine has an estimated useful life of 10 years and an estimated residual value of $50,000. Under the straight-line method, how much depreciation would glass take in 2010 for financial reporting purposes?

(Cost – Residual value)/Useful life = ($600,000 - $50,000)/10 = $55,000

Q6) Using the same information as in the previous question, how much depreciation would glass take in 2009 for financial reporting purposes under the double declining balance method?

Straight-line rate for 10 years is 10% depreciation per year.

Double-declining ➔ acceleration factor is 2:

Depreciation expense for 2009 = $600,000 x 20% = $120,000